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UPDATE

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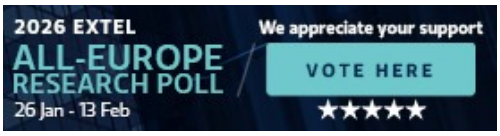
Barclays Bank | Europe

4Q25: >14% ROTE Target in 2028E vs. Consensus at 13.6%

MORGAN STANLEY EUROPE S.E., MADRID BRANCH+
Alvaro Serrano
Equity Analyst
Alvaro.Serrano@morganstanley.com +44 20 7425-6942

MORGAN STANLEY & CO. INTERNATIONAL PLC+
Almario Sulaj
Research Associate
Almario.Sulaj@morganstanley.com +44 20 7425-2049



Key Takeaways

- Q4 Ppop was a 4% beat vs. consensus and MSe, driven by revenues in US cards and the IB, which more than offset 2% higher costs with some one-offs.
- CET1 was at 14.3%, 10/20bp better and the company announced a £1bn share buyback, as expected. TNAV at 409p was 2% better.
- 2028 guidance aims for >14% ROTE target 2028E vs. MSe at 14% and consensus at 13.6%, the main difference being costs at low 50%s vs. MSe at 55%.
- The UK NII guidance is somewhat lower, but more than offset by other revenues and costs. We expect a positive share price reaction.
- Barclays trades on 1.1x for a 14% ROTE 2028E, which has upside to 15%.The investor presentation is at 9am.

Barclays reported a 4% Ppop beat vs. consensus and MSe Revenues were 2/3% better driven by US cards and the IB, with BUK 1% lower. Stronger revenues, more than offset 2% higher costs which included a one-off VAT expense in the UK, and Ppop was 4% ahead of consensus. Loan loss provisions were 10/20% lower than MSe/consensus. CET1 was at 14.3%, 10/20bp better than consensus. TNAV at 409p, was also 2% better.

>14% ROTE target 2028E vs. MSe at 14-15% and consensus at 13.6%. Revenues are expected to grow at 5% CAGR to c. £34bn vs. MSe at £33.8bn a £33.1bn. Lending CAGR of >5% in thee UK businesses, which continues the momentum seen in 2025. The IB Income is expected to grow at LSD vs. MSe at 3.5% and US cards at HSD vs. MSe at 8%. Cost/income ratio in the low 50s% vs. MSe at 55%. CoR expected at 50-60bp (unchanged), with CET1 expected at 13-14% also unchanged. Total capital return expected at £15bn above MSe of £16.6bn. This assumes that it operates at the top end of the 13-14% CET1 range pending more clarity from regulators on P2A add-ons, with relative flat RWAs in the IB.

For 2026E ROTE is expected at >12% (unchanged). UK NII is expected at £8.1-8.3bn vs. MSe at £8.5bn. The lower number is driven by 55% of the hedge income, which will be allocated to BUK vs. 75% in previous years. Group NII ex-IB at £13.5bn vs. MSe at £14bn. £31bn revenues, in line with MSe and vs. consensus at £30.6bn. CoR at 50-60bp vs. MSe at 54bp. 2026 £2bn dividend expected up from £1.2bn.

Key highlights:

BUK NII was up 2.8% QoQ, 0.6% below MSe but in line with consensus. Deposits were up £3.1bn qoq, and Lending up £3.1bn qoq or +4% yoy driven by mortgages.

UK Corporate bank revenues were 1% ahead with NII 2% better vs. consensus.

Barclays Bank (BARC.L, BARC LN)
Top Pick

Banks | United Kingdom

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	510p
Shr price, close (Feb 9, 2026)	487p
52-Week Range	506-224p
Mkt cap, curr (mn)	£68,098
Avg daily trading value (mn)	£156
Security Performance (YTD) (%)	2.2

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IB revenues were 5/2% better than MSe/consensus driven by markets. Markets were 7% ahead of consensus, with Equities up 21% YoY in USD vs US peers up 20% YoY, FICC was +14% YoY in USD vs. US peers at +4% YoY. Fees were 3% lower up 3% yoy in USD with M&A +18% yoy in USD, DCM +7% and it was ECM down 40% at £56mn, which drove the lower fee number. Corporate lending was £27mn vs. MSe at £65mn. Transaction banking at £432mn vs. MSe at £430mn.

US cards revenues beat by 10% holding up the strong Q3 performance: NII was up 7% qoq, in line with MSe, including a full quarter contribution from GM – fees at £277mn drove the beat. These included £40mn positive one-off; however, total revenue performance was £95mn better than consensus, so still better underlying. Provisions were also 17% lower than MSe, with ROTE at 15.8% for the quarter.

Exhibit 1: 4Q25 Results Overview

										4Q25 Review	
Barclays Bank - GBp mn	**4Q24**	**1Q25**	**2Q25**	**3Q25**	**4Q25A**	**4Q25e**	**4Q25 Comp. Cons.**	**Actual vs. comp. cons**	**Actual vs. Mse**	**Y/Y**	**Q/Q**
Barclays UK	2,615	2,074	2,119	2,253	2,262	2,287	2,282	*(1%)*	(1%)	(13%)	0%
Barclays UK Corporate Bank	458	484	519	522	539	543	533	*1%*	(1%)	18%	3%
Barclays Private Bank and Wealth Management	351	349	348	335	348	343	342	*2%*	1%	(1%)	4%
Investment Bank	2,607	3,873	3,307	3,083	2,792	2,652	2,735	*2%*	5%	7%	(9%)
Barclays US Consumer Bank	857	864	823	941	1,053	1,027	958	*10%*	3%	23%	12%
Head Office	76	65	71	33	83	50	60	*38%*	--	--	--
Income	**6,964**	**7,709**	**7,187**	**7,167**	**7,077**	**6,902**	**6,910**	***2%***	**3%**	**2%**	**(1%)**
Operating expenses	(4,244)	(4,258)	(4,149)	(4,254)	(4,379)	(4,289)	(4,306)	*2%*	2%	3%	3%
UK bank levy	(227)	(96)	0	12	(229)	(243)	(234)	*(2%)*	--	--	--
Litigation & Conduct	(121)	(11)	(76)	(255)	(50)	(47)	(45)	*11%*	--	--	--
Operating expenses	**(4,592)**	**(4,365)**	**(4,225)**	**(4,497)**	**(4,658)**	**(4,579)**	**(4,585)**	***2%***	**2%**	**1%**	**4%**
Pre-provision Operating Profit	**2,372**	**3,344**	**2,962**	**2,670**	**2,419**	**2,324**	**2,325**	***4%***	**4%**	**2%**	**(9%)**
Loan loss provisions	(711)	(643)	(469)	(632)	(535)	(675)	(597)	*(10%)*	(21%)	(25%)	(15%)
Other net (expenses) / income	0	18	(9)	39	(25)	0	(2)	*nm*	nm	nm	(164%)
Operating profit	**1,661**	**2,719**	**2,484**	**2,077**	**1,859**	**1,649**	**1,726**	***8%***	**13%**	**12%**	**(10%)**
Tax (charge)/credit	(448)	(621)	(552)	(365)	(388)	(435)	(399)	*(3%)*	(11%)	(13%)	6%
Profit after tax (continuing ops)	**1,213**	**2,098**	**1,932**	**1,712**	**1,471**	**1,214**	**1,327**	***11%***	**21%**	**21%**	**(14%)**
Other equity holders	(228)	(232)	(252)	(255)	(258)	(256)	(251)	*3%*	1%	13%	1%
Non-controlling interests	(20)	(2)	(21)	0	(18)	(21)	(25)	*(28%)*	nm	nm	nm
Attributable profit	**965**	**1,864**	**1,659**	**1,457**	**1,195**	**937**	**1,051**	***14%***	**28%**	**24%**	**(18%)**
Other Key Information											
Group Basic EPS (p)	6.7	13.0	11.7	10.4p	8.6	6.7	7.4	*16%*	29%	28%	nm
DPS (p)	5.5	0.0	3.0	0.0	5.6	6.0	6.1	*(8.2%)*	(7%)	2%	nm
Tang. BV/share (basic) p	357	372	384	392	409	401	401	*2%*	2%	15%	4%
Return on avg. tangible equity (%)	7.5%	14.0%	12.3%	10.6%	8.5%	-0.9%	7.6%	*90bps*	940bps	100bps	(210bps)
Cost:income ratio (%) (Calculated)	64%	56%	58%	59%	65%	66%	66%	*(59bps)*	(54bps)	91bps	592bps
CRD IV CET1 Ratio	13.6%	13.9%	14.0%	14.1%	14.3%	13.9%	14.0%	*30bps*	36bps	74bps	24bps
CRD IV Risk Weighted Assets £bn	358	351	353	357	357	360	360	*(1%)*	(1%)	(0%)	(0%)

Source: Company data, Morgan Stanley Research estimates (e); Q/Q = quarter on quarter, Y/Y = year on year

Valuation Methodology and Risks

Barclays Bank (BARC.L)

To reach our price target, we use a Gordon growth model, assuming a 12.5% cost of equity and 2.0% sustainable growth rate, to value 2028 numbers discounted back to 2026.

Risks to Upside

- Better macro backdrop, particularly in the US and UK, with stronger loan growth as demand picks up
- Better IB revenues as investor confidence returns
- Longer implementation timelines for regulatory capital ratios

Risks to Downside

- Execution risk on CIB turnaround
- Market share loss to larger competitors
- Ringfencing, capital levels and conduct investigations

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(as of January 31, 2026)

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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1520	41%	425	48%	28%	685	42%
Equal-weight/Hold	1579	43%	375	42%	24%	713	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	592	16%	89	10%	15%	232	14%
Total	3,695		890			1631	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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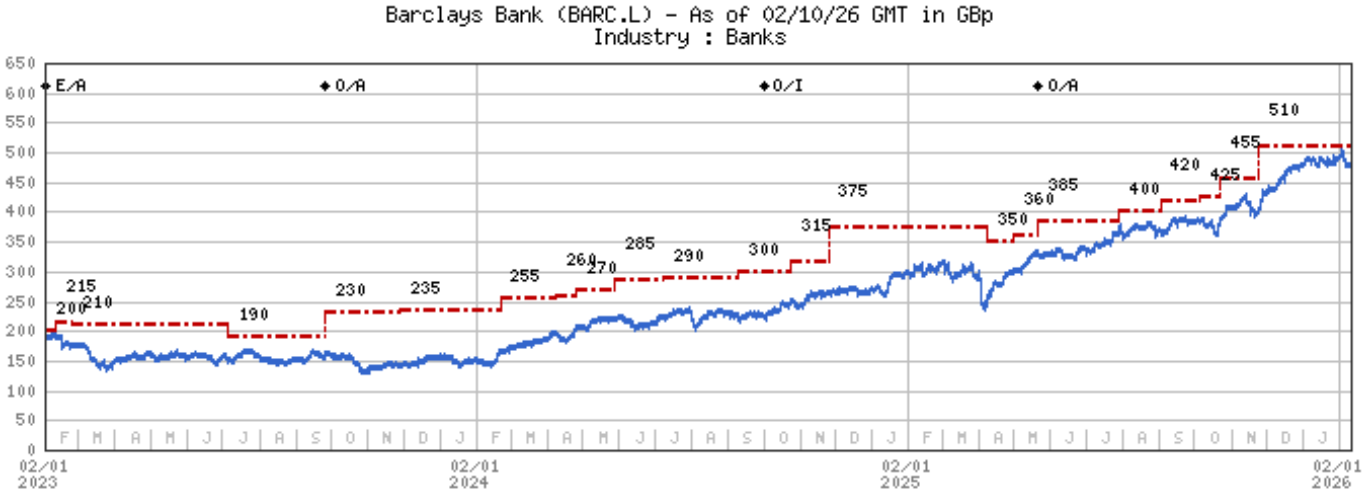

Stock Rating History: 2/1/21 : E/A; 5/17/22 : E/I; 9/15/22 : E/A; 9/26/23 : O/A; 10/1/24 : O/I; 5/21/25 : O/A

Price Target History: 1/7/21 : 160; 4/6/21 : 190; 6/7/21 : 200; 7/29/21 : 205; 9/8/21 : 200; 10/4/21 : 205; 11/2/21 : 240; 4/6/22 : 190; 5/3/22 : 200; 8/5/22 : 210; 10/17/22 : 200; 2/10/23 : 215; 2/23/23 : 210; 7/6/23 : 190; 9/26/23 : 230; 11/28/23 : 235; 2/21/24 : 255; 4/8/24 : 260; 4/25/24 : 270; 5/28/24 : 285; 7/8/24 : 290; 9/9/24 : 300; 10/24/24 : 315; 11/25/24 : 375; 4/9/25 : 350; 5/1/25 : 360; 5/21/25 : 385; 7/29/25 : 400; 9/2/25 : 420; 10/6/25 : 425; 10/23/25 : 455; 11/24/25 : 510

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INDUSTRY COVERAGE: Banks

COMPANY (TICKER)	RATING (AS OF)	PRICE* (02/09/2026)
Alvaro Serrano		
AIB Group plc (AIBG.I)	E (05/21/2025)	€9.58
Banco Comercial Portugues SA (BCP.LS)	E (03/03/2025)	€0.93
Banco Sabadell (SABE.MC)	E (10/21/2025)	€3.28
Bankinter (BKT.MC)	E (09/15/2022)	€14.70
Bank of Ireland (BIRG.I)	O (11/24/2025)	€17.23
Barclays Bank (BARC.L)	O (09/26/2023)	487p
BBVA (BBVA.MC)	E (10/21/2025)	€20.63
CaixaBank SA (CABK.MC)	E (11/25/2024)	€11.00
Commerzbank (CBKG.DE)	E (09/02/2025)	€35.45
HSBC (HSBA.L)	E (01/13/2026)	1,319p
Lloyds Banking Group (LLOY.L)	O (03/04/2025)	105p
NatWest Group (NWG.L)	E (10/02/2023)	620p
Santander (SAN.MC)	E (02/04/2026)	€10.82
UNICAJA BANCO SA (UNI.MC)	U (01/15/2021)	€2.81
Giulia Aurora Miotto, CFA		
ABN AMRO Bank NV (ABNd.AS)	O (09/22/2025)	€31.48
BNP Paribas (BNPP.PA)	E (09/15/2022)	€94.39
Credit Agricole S.A. (CAGR.PA)	E (07/08/2024)	€18.19
Deutsche Bank (DBKGn.DE)	O (03/27/2024)	€31.77
ING Groep (INGA.AS)	O (09/02/2025)	€25.77
KBC Group NV (KBC.BR)	E (11/24/2025)	€122.50
Societe Generale (SOGN.PA)	O (11/01/2024)	€74.96
UBS Group AG (UBSG.S)	U (06/18/2025)	SFr 34.00
Gulnara Saitkulova		
BAWAG Group AG (BAWG.VI)	O (05/20/2025)	€138.30

Danske Bank (DANSKE.CO)	O (08/13/2024)	DKr 342.80
DNB (DNB.OL)	U (09/23/2024)	NKr 289.20
Erste Group Bank AG (ERST.VI)	O (01/13/2025)	€109.40
Nordea Bank Abp (NDAFI.HE)	O (11/25/2024)	€16.84
Skandinaviska Enskilda Banken AB (SEBa.ST)	E (05/21/2024)	SKr 196.40
Svenska Handelsbanken AB (SHBa.ST)	U (07/08/2025)	SKr 142.45
Swedbank (SWEDa.ST)	U (02/15/2024)	SKr 356.30
Nick Lord		
Standard Chartered Bank (STAN.L)	O (11/24/2025)	1,899p
Noemi Peruch		
Banca Monte Paschi Siena (BMPS.MI)	E (01/05/2026)	€9.10
Banco BPM (BAMI.MI)	U (01/05/2026)	€12.92
BPER Banca (EMII.MI)	O (01/05/2026)	€12.78
Intesa SanPaolo S.p.A. (ISP.MI)	O (03/05/2024)	€6.05
UniCredit S.p.A. (CRDI.MI)	O (02/10/2026)	€78.64

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